

Micron Technology, Inc.

MU NASDAQ

Hold	\$971.88 ▲ 0.11%	12M Price Target \$1050.00	52-Week Range \$103.38 – \$1255.00	Market Cap \$1.10T
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MU: AI Memory Boom Meets Big Tech Earnings Test

WHAT HAPPENED

- MU ripped ~14% from Monday's close (\$865) to yesterday (\$971) — that's a massive move for a \$1 trillion company, and today's tiny +0.11% on light volume tells me the buyers are done chasing and everyone's waiting for tonight's Alphabet + Tesla earnings to confirm the AI capex story is still intact.
- Barron's is literally saying MU's fate is riding on GOOGL/TSLA/IBM prints — meaning if these hyperscalers guide UP on data center spending, MU rips higher because they're buying HBM (high-bandwidth memory) chips as fast as Micron can make them. If they guide DOWN, MU gives back this week's gains fast.

WHY IT MATTERS

The setup here is asymmetric and you need to see it clearly: MU already ran 14% into a binary earnings event it doesn't control. That means the "good news" from hyperscaler capex is partially priced in — you need a BEAT-AND-RAISE from Alphabet tonight to keep the momentum, not just an in-line print. The unusual call buying at \$960-970 strikes expiring THIS week (\$18M+ notional) tells me smart money is positioning for a pop on earnings, but those are lottery tickets — high risk, high reward. Bigger picture: at a \$1.1T market cap and 75% of its 52-week range, MU has transitioned from "cyclical memory stock" to "AI infrastructure blue chip" — the Trefis headline about breaking the boom-bust cycle matters because if the market truly believes that, the multiple expands permanently.

POLICY & POLITICAL WATCH

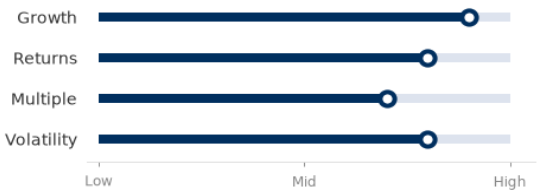
The CHIPS Act remains MU's biggest political tailwind — they've been awarded roughly \$6.1B in direct funding for their Idaho and New York fabs, and the Trump administration's stance has been to preserve the manufacturing incentives while pruning the "woke" strings attached (childcare requirements, etc.). Watch two things: (1) export controls on advanced memory to China — any tightening HELPS MU by hurting Chinese competitor CXMT, but any Chinese retaliation on rare earths hurts everyone; (2) the pending semiconductor tariff framework where the administration has floated 25-100% tariffs on foreign-made chips — MU's domestic manufacturing footprint means they'd be a relative winner if this lands. Net-net: policy environment is a tailwind, but the China escalation risk is the wildcard.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$971.88
12M Price Target	\$1050.00
Upside / (Downside)	+8.0%
Market Cap	\$1.10T
FY2026E Revenue	\$48,500M
FY2027E Revenue	\$62,000M
FY2026E EPS	\$14.20
FY2027E EPS	\$19.50
Fwd P/E	68.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1100.00	\$1000.00	\$880.00
6 Months	\$1300.00	\$1100.00	\$800.00
1 Year	\$1500.00	\$1050.00	\$700.00
2 Years	\$1800.00	\$1200.00	\$600.00
5 Years	\$2500.00	\$1600.00	\$500.00
10 Years	\$4000.00	\$2200.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities and Energy are leading today (+1.8%, +1.7%) — this is the AI power-consumption trade, because data centers are massive electricity hogs and the market is now pricing in the "second derivative" of the AI boom. Materials also strong on the reshoring/tariff narrative.

COOLING OFF: Industrials sliding (-0.45% over 5 days) suggests some rotation OUT of traditional cyclicals. Tech isn't in your ETF list but the semi trade is clearly running hot based on MU's move.

ROTATION WATCH: Money is rotating from "AI beneficiaries you already know" into "AI second-order plays" — utilities powering data centers, energy fueling them, materials for the physical buildout. This is late-cycle behavior in an AI trade, which means MU needs to keep delivering to hold its premium.

RELATED PLAY: If you want the pick-and-shovel-of-the-pick-and-shovel play, look at Applied Materials (AMAT) or Lam Research (LRCX) — they sell the equipment MU uses to make chips, and they benefit whether MU or Samsung wins the HBM race.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the king — every dollar of NVDA GPU sold includes MU HBM memory, so their earnings guide directly forecasts MU demand.
- AVGO (Broadcom): Custom AI silicon for hyperscalers is another HBM consumer — their strength confirms the memory demand story.

MU CONTEXT: MU is LEADING the memory space (SK Hynix, Samsung) and has closed the gap with the broader semi leaders. The 14% two-day move suggests it's now trading as a Tier-1 AI name, not a memory laggard — that's a mindset shift in the market that either sticks (bullish long-term) or reverses violently on the first disappointment.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$850-880 on pullbacks

Time Horizon: 12-18 months

Thesis Invalidation: HBM pricing crack, hyperscaler capex cuts, or Taiwan/China escalation disrupting supply chain

Hedging: Long SOXX puts or pair with a short on a lagging memory name